GOVERNMENT OF INDIA

# Ministry of Cooperation

## Strengthening India Through Cooperative Excellence

Confidential and Proprietory
August 2026

# SHRI NARENDRA MODI

## HONORABLE PRIME MINISTER, INDIA



## MESSAGE



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# SHRI AMIT SHAH

## HONORABLE MINISTER,
## MINISTRY OF COOPERATION



## MESSAGE



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# SHRI MUNINDRA KUMAR

## DIRECTOR GENERAL, CHAMBER OF COMMERCE AND INDUSTRIES OF INDIA



## MESSAGE

The cooperative movement has long served as a powerful instrument for inclusive economic development, community empowerment, rural prosperity, and social equity in India. The Ministry of Cooperation has been established with the vision of strengthening cooperative institutions, enhancing transparency, promoting professional governance, and unlocking the full potential of cooperative enterprises across diverse sectors of the economy.

The Chamber of Commerce and Industries of India (CCI India) firmly believes that cooperatives can become significant drivers of entrepreneurship, employment generation, rural industrialization, agricultural modernization, financial inclusion, and local economic development. Through policy advocacy, institutional strengthening, capacity building, digital transformation, investment facilitation, and industry partnerships, CCI India seeks to actively support the Ministry's vision of creating a vibrant and globally competitive cooperative ecosystem.

This Knowledge Paper provides an in-depth understanding of the Ministry's strategic priorities, institutional framework, policy initiatives, governance reforms, investment opportunities, and emerging collaborative models. It explores pathways for strengthening cooperative governance, promoting technology adoption, improving market access, encouraging value addition, facilitating skill development, and enabling cooperative entrepreneurship.

The publication is intended to benefit policymakers, cooperative institutions, financial organizations, entrepreneurs, investors, researchers, academia, development agencies, and industry stakeholders interested in advancing India's cooperative sector. By fostering knowledge sharing and collaborative action, it aims to strengthen institutional capacity, improve economic participation, and generate sustainable livelihood opportunities across the country.

As India moves towards inclusive and participatory economic growth, cooperatives will continue to play a transformative role in empowering communities and strengthening local economies. CCI India remains committed to partnering with the Ministry of Cooperation in building a modern, transparent, technology-enabled, and economically resilient cooperative ecosystem.

Munindra Kumar
Director General
CCI India



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# Preface

India's cooperative sector encompassing over 8.50 lakh registered cooperative societies with a combined membership exceeding 290 million citizens represents one of the most underutilised structural assets in the nation's development architecture. Cooperatives have historically served as the backbone of agricultural credit, rural dairy, sugar processing, handloom, fisheries, and housing sectors. Yet, despite their demographic reach and economic embeddedness, the cooperative movement in India has suffered from governance deficits, technology deprivation, regulatory fragmentation across State Acts, and a chronic absence of strategic institutional support.

The establishment of the Ministry of Cooperation in July 2021 a dedicated Central Government ministry for cooperative development marked a decisive inflection point. It signalled the Government of India's resolve to transform the cooperative ecosystem from a predominantly State-managed socio-economic instrument into a nationally coordinated, policy-driven, technology-enabled, and globally competitive institutional architecture. The Ministry, under the visionary guidance of the Hon'ble Prime Minister Shri Narendra Modi and steered by Hon'ble Union Minister Shri Amit Shah, has been charting a transformative course through legislative reform, regulatory harmonisation, capacity building, and the creation of new cooperative institutions.

This Strategic Knowledge Paper has been commissioned by CCI India (Chamber of Commerce and Industry of India) to serve as a definitive, evidence-based intelligence document for the Ministry of Cooperation. The paper synthesises research, policy analysis, sector benchmarking, gap assessment, and strategic recommendations into a publication-grade advisory document, suitable for submission to Union Ministers, senior secretaries, NITI Aayog, development finance institutions, and international multilateral agencies.

The paper does not seek to merely chronicle the Ministry's work. It aims to analytically assess the ecosystem, map structural gaps, identify high-priority collaboration opportunities, and propose a concrete, implementable framework through which CCI India can serve as the Ministry's preferred strategic implementation partner, knowledge facilitator, and ecosystem builder.

CCI India occupies a distinctive institutional position in India's public-policy ecosystem bridging government, industry, academia, startups, and international institutions. As India accelerates toward Viksit Bharat 2047, CCI India envisions itself as the catalytic institutional partner that translates government policy into ground-level economic outcomes mobilising private capital, facilitating industry partnerships, enabling technology transfer, and building institutional capacities across the cooperative value chain.

This paper is intended for: Hon'ble Union Minister of Cooperation and senior ministry officials; Secretaries and Joint Secretaries to the Government of India; NITI Aayog Members and Domain Advisors; State Cooperation Ministers and Registrars of Cooperative Societies; Industry leaders, impact investors, and development finance institutions; International institutions including the ICA, ILO, FAO, ADB, and World Bank.



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# TABLE OF CONTENTS


SHRI NARENDRA MODI ..... 2

*HONORABLE PRIME MINISTER, INDIA* ..... 2

SHRI AMIT SHAH ..... 3

*HONORABLE MINISTER,* ..... 3
*MINISTRY OF COOPERATION* ..... 3

SHRI MUNINDRA KUMAR ..... 4

*DIRECTOR GENERAL, CHAMBER OF COMMERCE AND INDUSTRIES OF INDIA* ..... 4

PREFACE ..... 5

ABOUT CCI INDIA ..... 8

1: INTRODUCTION TO THE MINISTRY OF COOPERATION ..... 9

Constitutional Mandate and Institutional Genesis ..... 9
Governance Role and Policy Architecture ..... 9
National Significance and Development Imperative ..... 9

2: HISTORICAL TIMELINE OF THE MINISTRY ..... 10

Evolution of Cooperative Policy in India: 1904–2026 ..... 10
Timeline Analysis: Key Strategic Observations ..... 11

3: MINISTRY OVERVIEW & ORGANISATIONAL STRUCTURE ..... 12

Institutional Architecture of the Cooperative Ecosystem ..... 12
Structural Analysis ..... 13

4: STRATEGIC IMPORTANCE OF THE MINISTRY ..... 13

Economic and Social Scale of India's Cooperative Ecosystem ..... 13
Strategic Significance Analysis ..... 14

5: SECTOR LANDSCAPE COOPERATIVE INDIA ..... 15

Cooperative Sub-Sector Market Intelligence ..... 15
Sector Landscape: Strategic Insights ..... 16

6: MINISTRY PROGRESS REVIEW (2020–2026) ..... 17

Programme Performance Dashboard: Key Initiatives ..... 17
Progress Review: Strategic Interpretation ..... 18

7: CURRENT LANDSCAPE ANALYSIS ..... 18

Major Achievements of the Cooperative Sector ..... 18
Existing Challenges ..... 19
Global Benchmarking: India vs. Leading Cooperative Economies ..... 19
Benchmarking Insights ..... 20

8: STRATEGIC NEED FOR CCI INDIA COLLABORATION ..... 20

Structural Gaps Requiring Public-Private Partnership ..... 20
Market Failures in the Cooperative Ecosystem ..... 20
Why Government Alone Cannot Transform the Cooperative Sector ..... 21

9: GAP ANALYSIS FRAMEWORK ..... 21

Cooperative Sector Gap Assessment Matrix ..... 21
Gap Analysis: Key Strategic Findings ..... 23

10: OPPORTUNITY ASSESSMENT MATRIX ..... 23




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High-Priority Opportunity Landscape for CCI India ..... 23
Opportunity Matrix: Strategic Interpretation ..... 24

**11: INNOVATION & ECOSYSTEM DEVELOPMENT FRAMEWORK ..... 25**

The Cooperative Innovation Imperative ..... 25
Emerging Technology Applications for the Cooperative Sector ..... 25
Incubation and Innovation Ecosystem Development ..... 26

**12: STRATEGIC ROLE OF CCI INDIA ..... 26**

CCI India as the Ministry's Premier Implementation Partner ..... 26
Institutional Strengths: The CCI India Advantage ..... 27

**13: PROPOSED COLLABORATION FRAMEWORK ..... 28**

Strategic Objectives of the Partnership ..... 28
Governance Architecture ..... 28
PPP Model and Coordination Mechanism ..... 29

**14: PROPOSED FLAGSHIP PROGRAMMES ..... 29**

CCI India's SAHKAR Programme Suite ..... 29
Programme Portfolio Analysis ..... 31

**15: INVESTMENT & FUNDING FRAMEWORK ..... 32**

Cooperative Sector Investment Architecture ..... 32
Funding Architecture: Strategic Rationale ..... 32

**16: STATE-WISE ENGAGEMENT PRIORITY MATRIX ..... 33**

Geographic Strategy for Cooperative Sector Engagement ..... 33
State Strategy: Key Insights ..... 34

**17: EXPECTED IMPACT ASSESSMENT ..... 35**

Quantified Impact Projections: 2026–2031 ..... 35
Impact Assessment: Strategic Interpretation ..... 36

**18: FIVE-YEAR STRATEGIC ROADMAP (2026–2031) ..... 37**

Roadmap Architecture: From Foundation to Legacy ..... 37
Roadmap Implementation Priorities ..... 38

**19: WHY CCI INDIA IS THE IDEAL STRATEGIC PARTNER ..... 38**

The Institutional Fit: CCI India's Unique Value Proposition ..... 38
The Non-Substitutable CCI India Advantage ..... 40

**20: STRATEGIC ACTION AGENDA & POLICY RECOMMENDATIONS ..... 40**

Immediate Priority Recommendations (FY 2026–27) ..... 40
Medium-Term Priority Recommendations (FY 2027–2029) ..... 41
Long-Term Priority Recommendations (FY 2029–2031) ..... 42

**CONCLUSION ..... 43**



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## About CCI India

CCI India (The Chamber of Commerce and Industry of India) is a premier national business chamber dedicated to fostering economic growth, industry development, entrepreneurship, innovation, and investment promotion across India. As the voice of Indian business and industry, CCI India serves as a bridge between government, industry, startups, academia, investors, and civil society, facilitating meaningful collaboration for nation-building and sustainable development.

Through policy advocacy, business facilitation, research, stakeholder engagement, capacity building, and strategic partnerships, CCI India works to create an enabling environment for enterprises of all sizes. The Chamber actively supports key national initiatives such as Startup India, Make in India, Digital India, Atmanirbhar Bharat, Skill India, and Viksit Bharat 2047 by connecting innovative enterprises with government opportunities and promoting inclusive economic development.

CCI India operates through sector-specific councils, industry forums, knowledge platforms, and state-level engagements that address emerging opportunities and challenges across sectors including manufacturing, agriculture, technology, healthcare, education, infrastructure, sustainability, MSMEs, and startups. The Chamber regularly organizes policy dialogues, investment summits, business delegations, workshops, conferences, and knowledge-sharing initiatives to strengthen India's economic ecosystem.

With a strong commitment to innovation, entrepreneurship, and public-private collaboration, CCI India strives to empower enterprises, facilitate investment, enhance competitiveness, and contribute to India's journey toward becoming a globally competitive and economically resilient nation. Its role as a knowledge partner and industry catalyst enables ministries, departments, state governments, startups, and businesses to collaborate effectively in achieving national development objectives.



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# 1: INTRODUCTION TO THE MINISTRY OF COOPERATION

## Constitutional Mandate and Institutional Genesis

The Ministry of Cooperation derives its existence from a confluence of constitutional philosophy, cooperative movement history, and 21st-century policy pragmatism. The 97th Constitutional Amendment Act of 2011 introduced Article 43-B directing the State to promote voluntary formation, autonomous functioning, democratic control, and professional management of cooperative societies and Part IX-B, which mandated a governance framework for cooperative societies across India. However, the implementation of these constitutional directives remained fragmented for a decade, with most regulatory authority vested in State governments under Entry 32 of the Seventh Schedule.

The creation of a dedicated Ministry of Cooperation on 6 July 2021 represented the Government of India's intervention to provide national policy coherence, institutional direction, and legislative impetus to an ecosystem long characterised by state-level regulatory inconsistency. The Ministry operates at the intersection of the Centre's concurrent jurisdiction over multi-state cooperatives (under Entry 44 of the Union List) and the broader cooperative policy space, providing a platform for harmonised governance while respecting the federal structure.

## Governance Role and Policy Architecture

The Ministry exercises executive, legislative, and institutional governance roles across the cooperative sector. On the executive side, it provides policy direction to NCDC, VAMNICOM, and oversight bodies for apex cooperative institutions. On the legislative front, the Ministry has already delivered a landmark reform the Multi-State Cooperative Societies (Amendment) Act, 2023 which strengthened board accountability, introduced audit reforms, created a Cooperative Election Authority, and established a Cooperative Rehabilitation, Reconstruction and Development Fund. These legislative interventions address systemic governance failures that had accumulated over four decades of benign regulatory neglect.

The Ministry's policy architecture rests on four pillars: (1) Democratisation of cooperative governance through free and fair elections; (2) Professionalisation of cooperative management through structured capacity building; (3) Digitalisation of cooperative operations through PACS computerisation and ERP deployment; and (4) Economic empowerment of cooperative members through market linkage, export facilitation, and access to capital.

## National Significance and Development Imperative

Cooperative societies in India are not merely commercial entities they are instruments of grassroots democracy, rural financial inclusion, and community-based economic resilience. The cooperative sector employs approximately 1.28 crore persons directly and supports the livelihoods of nearly 29 crore member-families a population larger than the entirety of Germany, France, and the United Kingdom combined. The sector's GDP contribution is estimated at 6-7% of national gross value added (GVA), with a higher share in agriculture, dairy, and rural finance.

In the context of Viksit Bharat 2047 which targets a USD 30 trillion economy, universal rural prosperity, and the elimination of multidimensional poverty the cooperative sector represents an irreplaceable institutional layer. Its geographic penetration into India's 6.4 lakh villages, its financial inclusion mandate through PACS and cooperative banks, and its role in value chain integration for small farmers, artisans, weavers, and fisherfolk make the Ministry of Cooperation a development ministry of the highest strategic priority.



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# 2: HISTORICAL TIMELINE OF THE MINISTRY

## Evolution of Cooperative Policy in India: 1904–2026

India's cooperative movement spans over 120 years of legislative evolution, institutional development, and policy recalibration. The following timeline traces the key milestones, from the earliest credit society legislation in the colonial era to the creation of the dedicated Ministry of Cooperation and the transformational reforms of 2021–2026. Understanding this evolution is essential to appreciating the institutional context within which current policy interventions are being designed and the urgency with which structural reforms must now be accelerated.

| Year | Milestone | Strategic Significance |
|---|---|---|
| 1904 | Cooperative Credit Societies Act | First legislative framework for cooperative credit societies in India, creating the statutory basis for rural credit mobilisation. |
| 1912 | Cooperative Societies Act | Expanded cooperative framework beyond credit to include non-credit cooperatives, laying foundation for the multi-sector cooperative movement. |
| 1919–1935 | Government of India Acts | Cooperative regulation transferred to provinces under devolution establishing the federal cooperative structure that persists today under the Seventh Schedule. |
| 1958 | First Five-Year Plan Emphasis | Cooperative institutions identified as the primary vehicle for rural development and agricultural credit delivery in Independent India's planning framework. |
| 1962 | NCDC Established | National Cooperative Development Corporation set up to plan, promote, and finance programmes for production, processing, marketing, and storage through cooperatives. |
| 1984 | NCCF Formation | National Cooperative Consumers' Federation established to facilitate cooperative retail, consumer goods distribution, and price stabilisation. |
| 2002 | MSCS Act Enacted | Multi-State Cooperative Societies Act provided a comprehensive legislative framework for cooperatives operating across two or more states. |
| 2011 | 97th Constitutional Amendment | Articles 43-B and Part IX-B added mandating democratic, autonomous, and professionally managed cooperative societies; landmark constitutional recognition. |



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